

NORTH CASTLE
CONSULTING

Quality of Earnings

The Complete Guide

A Strategic Framework for M&A; Due Diligence



AI-Accelerated Analysis • Secure AWS Infrastructure • Faster Deliverables

northcastleconsulting.com

What is Quality of Earnings?

Quality of Earnings (QoE) analysis is forensic financial due diligence that separates sustainable, cash-based earnings from accounting artifacts and one-time events. It answers the critical question every buyer and seller must know: **Will these earnings persist under new ownership?**

Unlike a financial statement audit, which confirms historical accuracy, QoE looks forward. It identifies add-backs, adjustments, and risk factors that materially impact valuation.

When You Need QoE: Selling a business • Buying a company • Private equity investments • Sponsor-backed transactions • Family succession planning • Management buyouts

Traditional vs. AI-Accelerated QoE

Dimension	Traditional QoE	North Castle AI QoE
Timeline	4-6 weeks	Days to weeks
Data Analysis	Sample-based	100% transaction review
Cost Structure	Premium pricing	Fraction of traditional cost
Deliverable Speed	Months	Accelerated with AI agents
Technology	Spreadsheets & manual review	AWS infrastructure + AI automation

The QoE Framework: 7 Core Components

Our comprehensive approach examines every dimension of earnings quality through seven interconnected components. Each component builds on the others to create a complete picture of financial reality.

1. Adjusted EBITDA Bridge

Transform reported EBITDA into sustainable cash flow by normalizing for non-recurring items, accounting anomalies, and operational distortions.

- **Expense Add-Backs (+):** Owner compensation, personal expenses, one-time costs
- **Revenue Adjustments (-):** Asset sales, insurance recoveries, non-recurring revenue
- **Operational Normalizations (±):** Rent adjustments, deferred maintenance, inventory
- **Run-Rate Adjustments (±):** New contracts, lost customers, recent hires

2. Revenue Quality Assessment

Not all revenue is equal. We apply a five-tier taxonomy to assess sustainability and identify concentration risks that threaten future earnings.

- **Tier 1:** Recurring Contracted (90%+ renewal rates) — SaaS, multi-year agreements
- **Tier 2:** Sticky Repeat Business — Industrial consumables, trade relationships
- **Tier 3:** Project-Based with Backlog — AEC, government (12-24 month visibility)
- **Tier 4:** One-Time Project — Custom implementations, event-driven
- **Tier 5:** Windfall/Spot Market — Commodity, distressed sales (unpredictable)

3. Working Capital Deep Dive

Analyze DSO, DIO, and DPO trends to identify window dressing, artificial cash flow boosts, and true net working capital requirements.

- DSO (Days Sales Outstanding): $\text{Avg A/R} / \text{Revenue} \times 365$
- DIO (Days Inventory Outstanding): $\text{Avg Inventory} / \text{COGS} \times 365$
- DPO (Days Payable Outstanding): $\text{Avg A/P} / \text{COGS} \times 365$
- Cash Conversion Cycle: $\text{DSO} + \text{DIO} - \text{DPO}$

4. Cash Flow Reconciliation

Bridge net income to free cash flow and compare Adjusted EBITDA – CapEx to Operating Cash Flow. Variance analysis reveals timing differences versus structural issues.

5. Add-Back Validation

Confidence scoring separates defensible adjustments from aggressive assumptions. Every add-back is evaluated against documented evidence.

- **High Confidence:** Court records, salary surveys, signed agreements
- **Medium Confidence:** Appraisals, inspections, offer letters
- **Excluded:** Synergies, pipeline projections, growth assumptions

6. Management Q&A;

Targeted interviews based on analytical findings. We develop questions from specific anomalies, prepare management for buyer interviews, and document all responses.

7. Deliverables & Data Room Index

Comprehensive output including interactive dashboards, written reports, and a complete data room index cross-referencing every finding to source documents.

- Executive dashboard with EBITDA waterfall visualization
 - Comprehensive written report with risk matrix
 - Complete data room index with audit trail
 - Instant verification through document linking
-

AI Agent Technology

Our proprietary AI agents accelerate analysis while maintaining forensic rigor. Each agent is specialized for specific QoE tasks:

Sell-Side Agents:

- Add-Back Discovery — Scans GL for owner perks and one-time expenses
- Revenue Normalization — Classifies revenue by tier and quality
- CIM Prep — Generates recast financials and data room index

Buy-Side Agents:

- Transaction Forensics — Analyzes complete transaction populations
- Working Capital Detective — Identifies window dressing patterns
- Hidden Liability Hunter — Surfaces unrecorded obligations

Engagement Types ---

Sell-Side (Vendor Due Diligence)

6-12 months pre-market. Maximize valuation by identifying and documenting every favorable adjustment before buyers arrive. Control the narrative.

Buy-Side (Confirmatory Due Diligence)

Post-LOI, during 30-45 day exclusivity. Validate investment thesis, stress-test assumptions, and surface red flags. Protect your investment.

Why North Castle Consulting?

Speed Without Compromise

AI-accelerated analysis delivers institutional-grade QoE in days, not weeks. Same forensic rigor, exponentially faster execution.

Cost Efficiency

Mid-market deals deserve Big 4 quality without Big 4 pricing. Transparent flat-fee options available.

Security & Transparency

SOC 2-compliant AWS infrastructure. Complete audit trails. Client portal for file tracking, uploads, and downloads. Every access logged.

Middle-Market Focus

We understand the unique dynamics of family-owned businesses, sponsor-backed companies, and founder-led enterprises.

Ready to Validate Earnings Quality?

Whether you're preparing for sale or evaluating a target, we provide the forensic analysis to support confident decisions.

North Castle Consulting

northcastleconsulting.com
admin@northcastleconsulting.com

Schedule: calendly.com/rventrapragada-northcastleconsulting/qoe-consultation

All engagements operate within SOC 2-compliant AWS environments. No black-box algorithms—every finding is traceable to source documents.